

As seen, the Operating Asset Turnover has been decreasing slowly and steadily since FY 2015, which plateaued for some years, and then in FY 2021, it has gone quite low. This is because of COVID-19 as well as the acquisition of another company. The acquisition of another company also led to sharp increase in assets whereas revenue did not increase by same proportion.

As seen, the company has generated four times in revenue compared to operating fixed asset of the company, like plant, machinery, etc. Operating assets turnover largely depends on the industry company operates in and differs for different companies.



In general, if Operating Asset turnover increases, it means that the company's assets are being used effectively. Similar companies can be compared based on Operating Asset turnover.

A company with higher Operating Asset Turnover needs lesser capital (debt or equity) to conduct its business, meaning they are giving better returns to investors. Thus, it is important to analyze Operating Asset Turnover to understand how efficiently a company manages its assets.